भारतीय रिज़र्व बैंक
RESERVE BANK OF INDIA

RBI/DOR/2025-26/256
DOR.CRE.REC.175/07-02-004/2025-26 November 28, 2025

Reserve Bank of India (Regional Rural Banks – Credit Risk Management) Directions, 2025 (updated as on April 01, 2026)

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Introduction

Regional Rural Banks (RRBs), in the course of financial intermediation, are exposed to various financial and non-financial risks, of which credit risk is the one of the most significant risks. If not managed effectively, credit risk may have ramifications for a range of other risk categories too. As credit exposures of RRBs encompass varied sectors, borrower types and products with their own idiosyncratic complexities as well as systemic implications due to interconnectedness among themselves, credit risk management of RRBs involve a range of prudential tools, including statutory and regulatory restrictions / prohibitions on certain activities. Recognising this, the Reserve Bank has, from time to time, issued guidelines to strengthen credit risk management practices.

Accordingly, in exercise of the powers conferred by Sections 20, 21 and 35A of the Banking Regulation Act, 1949, and all other provisions / laws enabling the Reserve Bank of India (hereinafter called the Reserve Bank) in this regard, Reserve Bank being satisfied that it is necessary and expedient in the public interest so to do, hereby, issues the Directions hereinafter specified.

Chapter I - Preliminary

A. Short title and Commencement

1. These Directions shall be called the Reserve Bank of India (Regional Rural Banks – Credit Risk Management) Directions, 2025.

2. These Directions shall come into effect immediately upon issuance.

B. Applicability

3. These Directions shall be applicable to Regional Rural Banks (hereinafter collectively referred to as ‘banks’ and individually as a ‘bank’).

C. Definitions

4. (1) In these Directions, unless the context otherwise requires,

(i) ‘Bank Guarantee’ shall mean financial and performance guarantees issued by banks on behalf of their clients. A financial guarantee assures payment of money in

the event of non-fulfilment of contractual obligations by the client. A performance guarantee provides assurance of compensation if there is delayed or inadequate performance on a contract. A deferred payment guarantee assures payment of instalments due to a supplier of goods.

(ii) 'Bills Purchased and Discounted' shall mean negotiable instruments that give the holder the right to receive stated fixed sums on demand or at a fixed or determinable future time. When a bank negotiates a bill payable on demand (sight bill) and provides funds to the holder, at a fee / interest, the facility is referred to as bill purchase. When a bank negotiates bill payable after a usance i.e., at a fixed or determinable future time (usance bill) and provides funds to the holder, at a discount, the facility is referred to as bill discounting. Bills purchased and discounted can be Inland Bills and Foreign Bills. Inland Bills are Bills of Exchange drawn in India and paid in India to a person in India.

(iii) 'Cash credit (CC)' shall mean a facility, under which a customer is allowed an advance up to the credit limit against the security by way of hypothecation / pledge of goods, book debts, standing crops, etc. The facility is a running account and 'Drawing Power - DP' is periodically determined with reference to the value of the eligible current assets. The outstanding amount is repayable on demand.

[1][(iiia) 'Committee on lending to related parties' shall mean a committee of the Board of the bank entrusted with sanctioning of loans to related parties. Banks may also identify any existing Committee, other than the Audit Committee, for this purpose.

(iiib) 'Contract or arrangement' shall have the same meaning as specified in Section 188(1)(a) to (g) of the Companies Act, 2013.

(iiic) 'Control' shall have the same meaning as assigned to it under Section 2(27) of the Companies Act, 2013.]

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[1]*Inserted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks – Credit Risk Management) – Amendment Directions, 2026 dated January 05, 2026.*

(iv) 'Current Account' shall mean a form of demand deposit account wherefrom withdrawals are allowed any number of times depending upon the balance in the account or up to a particular agreed amount and shall also be deemed to include other deposit accounts which are neither Savings nor Term deposit account.

(v) 'Demand loans' shall mean all loans repayable on demand (such as cash credit, overdraft, bills purchased and discounted, etc.) and short-term loans with maturity up to one year, whether secured or unsecured, are considered demand loans.

[2][(va) Director of a bank' shall have the same meaning as defined in Explanation (b) to Section 20 of the Banking Regulation Act 1949 and would include a nominee director and an independent director.

(vb) 'Entity' in the context of a 'related party' prescribed in Chapter IIIA of these Directions shall mean a 'person' other than an individual and a Hindu Undivided Family (HUF).

(vc) 'Key Managerial Personnel (KMP)' of a bank shall have the same meaning as defined in Section 2(51) of the Companies Act, 2013.

(vd) 'Lending' in the context of a 'related party' shall mean extending funded or/ and non-fund-based credit facilities to related parties. While investments in debt instruments of related parties shall be covered for this purpose, equity investments shall be excluded.]

(vi) 'Letter of Credit (LC)' shall mean any arrangement how so ever named or described, that is irrevocable and thereby constitutes a definite undertaking of the issuing bank to honour a complying presentation. An LC confirmed by a bank based and operating in another country is payable by the confirming bank.

(vii) 'Overdraft (OD)' shall mean a facility, under which a customer is allowed to draw

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[2]*Inserted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks – Credit Risk Management) – Amendment Directions, 2026 dated January 05, 2026.*

an agreed sum (credit limit) in excess of credit balance in their account. The overdraft facility may be secured (against fixed / term deposits and other securities, like small saving instruments, surrender value of insurance policies, etc.) or clean (*i.e.* without any security). The overdraft facility might be granted on their current account, savings deposits account or temporary overdraft on credit accounts.

[3][(viia) 'Person' shall have the same meaning as assigned to it under Section 3 (23) of Part I of Insolvency and Bankruptcy Code (IBC), 2016.

(viib) 'Personal loan' shall have the same meaning as defined under Banking Statistics (Harmonised Definitions).

(viic) 'Promoter' shall have the same meaning as assigned to it under Section 2(69) of the Companies Act, 2013.

(viid) 'Reciprocally Related Person' means an individual who is either (a) a director (excluding independent director/ Nominee director appointed by the Government or RBI or a statutory body) of another commercial bank, or an AIFI, or a scheduled cooperative bank, or a subsidiary of a commercial bank; or (b) a trustee of a mutual fund or an alternate investment fund established by any of the aforesaid regulated entities; or (c) a relative of such a director or a trustee.

(viie) 'Related Party' with respect to a bank shall mean a related person, a reciprocally related person, or any of the following entities:

(a) where a related person or a reciprocally related person is a partner, manager, KMP, director or a promoter; or
(b) where a related person or a reciprocally related person is a shareholder with more than ten per cent of paid-up equity share capital; or
(c) where a related person or a reciprocally related person is having control, whether singly or jointly with another person; or

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[3] *Inserted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks – Credit Risk Management) – Amendment Directions, 2026 dated January 05, 2026.*

(d) where a related person or a reciprocally related person controls more than twenty per cent of voting rights on account of ownership or through a voting agreement or through any other arrangement; or

(e) where a related person or a reciprocally related person has the power to nominate a director to its Board; or

(f) which is accustomed to act on the advice, direction, or instruction of a related person or reciprocally related person; or

(g) where a related person or a reciprocally related person is a guarantor or a surety; or

(h) where a related person or a reciprocally related person is a trustee or an author or a beneficiary and where the entity is in the form of a private trust.

(i) which is related to the related person or a reciprocally related person as a subsidiary or a parent company or a holding company or an associate or a joint venture.

Provided that, nothing in sub-clause (e) above shall apply in cases where the authority to nominate a director arises exclusively from a lending or financing arrangement.

Provided further that, nothing in sub-clause (f) above shall apply to the advice, directions or instructions given in a professional capacity.

Provided further that, Government of India / State Government-owned or controlled entities shall not be treated as related parties to a government-owned bank just by virtue of the fact that the Government has the common ownership or control of such entities.

(viif) 'Related Person' with respect to a bank shall mean a person, and the relatives of such a person, where the person:

(a) is either a promoter, or a director, or a KMP of the bank; or

(b) owns more than five per cent of paid-up equity share capital of the bank or can, either singly or jointly, exercise more than five per cent of the voting rights of the bank on account of either ownership or voting agreement or through shareholders' agreement or through any other arrangement; or

(c) can, through an agreement with the bank, nominate a director to its Board; or

(d) is either singly or jointly, in control of the bank.

(viig) 'Relative' with regard to a natural person shall have the same meaning as defined in Section 2(77) of the Companies Act, 2013 and rules framed therein.]

(viii) 'Revaluation Reserve' shall mean a reserve created on the revaluation of assets or net assets represented by the surplus of the estimated replacement cost or estimated market values over the book values thereof.

[4][(viiia) 'Specified employees' mean all employees of a bank who are positioned up to two levels below the Board and any employee designated as such as per the bank's policy.]

(ix) 'Substantial interest' shall have the same meaning as assigned to it in Section 5(ne) of the Banking Regulation Act, 1949.

(x) 'Term loans' shall mean loans which have a specified maturity and is payable in instalments or in bullet form. Term loans having maturity in excess of one year shall only be reported under this head (term loans with maturity up to one year are to be reported under demand loans).

(2) All other expressions unless defined herein shall have the same meaning as have been assigned to them under the Banking Regulation Act, 1949, or the Reserve Bank of India Act, 1934 and rules / regulations made thereunder, or any statutory modification or re-enactment thereto or in other relevant regulations issued by the Reserve Bank, or Glossary of Terms published by Reserve Bank or as used in commercial parlance, as the case may be.

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[4]*Inserted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks – Credit Risk Management) – Amendment Directions, 2026 dated January 05, 2026.*

Chapter II - Board Approved Policies

5. [5][A bank shall put in place a comprehensive Board approved policy on Credit Risk Management. The policy shall, *inter alia*, cover aspects related to lending to related parties, valuation of properties including empanelment of valuers and opening of current accounts and CC / OD accounts. The afore-mentioned specific aspects and other areas of concern which need to be addressed in such policies are also detailed in the relevant paragraphs of these Directions.]

[5]*Substituted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks – Credit Risk Management) – Amendment Directions, 2026 dated January 05, 2026.*

Chapter III - Statutory Restrictions

A. Advances against Bank's own Shares

6. In terms of Section 20(1)(a) of the Banking Regulation Act (BR Act), 1949, a bank cannot grant any loans and advances on the security of its own shares.

B. Advances to Bank's Directors

7. In terms of Section 20(1)(b) of the BR Act, 1949, a bank is prohibited from entering into any commitment for granting any loans or advances to or on behalf of any of its directors, or any firm in which any of its directors is interested as partner, manager, employee or guarantor, or any company [not being a subsidiary of the banking company or a company registered under Section 8 of the Companies Act, 2013, or a Government company] of which, or the subsidiary or the holding company of which any of the directors of the bank is a director, managing agent, manager, employee or guarantor or in which he holds substantial interest, or any individual in respect of whom any of its directors is a partner or guarantor.

8. [6][*****]

[7][8A. In exercise of the powers conferred by clause (a) of the Explanation under Section 20(4) of the Banking Regulation Act, 1949, the following explanations are provided:

(1) Provisions of paragraph 7 above would not apply in the following cases:

(i) Credit facilities granted or commitment made by a bank to a company where a director of the bank has substantial interest, if the advance was granted, or

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[6]*Deleted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks – Credit Risk Management) – Amendment Directions, 2026 dated January 05, 2026.*

[7]*Inserted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks – Credit Risk Management) – Amendment Directions, 2026 dated January 05, 2026.*

commitment was made, prior to the appointment of the said director on the Board of the bank.

Provided that, till the director relinquishes the directorship of either the bank or the company, the bank shall not further renew such a facility on or after its contracted maturity or renewal date; enhance the limit; or change any of the terms of the facility before its maturity.

(ii) Advances to a public trust, where a trustee is also a director of the lending bank.

(iii) Loans and advances to a director against government securities, life insurance policies or fixed deposit, where loan-to-value is not in excess of 100 per cent of the realisable value of such securities or in adherence to specifically prescribed LTV ratio and valuation norms for loans against such a primary security by relevant Directions of the RBI, if any.

(iv) Such personal loans and advances to a director, other than loans for investment in financial assets, as permitted to an employee in terms of the approved policy, or that form part of the approved compensation / remuneration package, where applicable. The interest rate charged on all such loans shall not be lower than the rate charged to the employees.

(v) Non-Fund Based (NFB) facility on behalf of a director or his/her related party, provided that all such facilities shall be fully secured by cash collateral of equivalent or higher value.

Provided that cash collateral would not be mandatory in exposures arising on account of derivative transactions.]

[8][**B. 1** *****

[8]*Deleted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks – Credit Risk Management) – Amendment Directions, 2026 dated January 05, 2026*

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B.2 Restrictions on Power to Remit Debts

13. Section 20A(1) of the BR Act, 1949 stipulates that a bank shall not, except with the prior approval of the Reserve Bank, remit in whole or in part any debt due to it by -

    (1) any of its directors, or

    (2) any firm or company in which any of its directors is interested as director, partner, managing agent or guarantor, or

    (3) any individual, if any of its directors is their partner or guarantor.

14. In terms of Section 20A(2) of the Act ibid, any remission made in contravention of the provisions of sub-section (1) above shall be void and of no effect.

C. Restrictions on Holding Shares in Companies

15. While granting loans and advances against shares, statutory provisions contained in Sections 19(2) and 19(3) of the BR Act, 1949 shall be strictly observed.

D. Restrictions on Credit to Companies for Buy-back of their Securities

16. In terms of provisions of the Companies Act, 2013, companies are permitted to purchase their own shares or other specified securities out of their

    (1) free reserves, or

    (2) securities premium account, or

    (3) the proceeds of any shares or other specified securities,

subject to compliance of various conditions specified therein. Therefore, a bank shall not provide loans to companies for buy-back of shares / securities.

[9]

Chapter IIIA - Regulatory Restrictions

A. Lending to Related Parties

A.1. General Principles

16A. This Section sets out general principles and procedures to be followed for prudent risk management of loan to related parties, wherever allowed.

16B. The Board shall have the overall responsibility of ensuring that suitable mechanisms are put in place for implementation of the policy on lending to related parties by the bank.

16C. The credit policy (hereinafter called the policy) of a bank, as required in terms of the extant directions, shall contain specific provisions relating to 'lending to related parties' in accordance with the provisions of these Directions. The policy shall prescribe, *inter alia*, additional safeguards to address the risks emanating from lending to related parties.

16D. The policy shall also have specific provisions for lending to 'specified employees' of the bank and their relatives.

16E. Further, the policy shall, as a part of the whistleblowing mechanism, encourage employees to communicate confidentially and without the risk of reprisal, legitimate concerns, if any, about irregular, unethical, or questionable loans to related parties; and eliminate quid pro quo arrangements, if any.

16F.The policy shall specify aggregate limits for loans towards related parties. Within this aggregate limit, there shall be sub-limits for loans to a single related party and a group of related parties. These limits shall be within the extant prudential exposure limits prescribed by the Reserve Bank.

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[9]*Inserted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks – Credit Risk Management) – Amendment Directions, 2026 dated January 05, 2026*

A.2 Regulatory Prohibitions

16G. Provisions of paragraph 7 in Chapter III shall also apply to grant of loans and advances to spouse and minor / dependent children of the directors of banks. However, banks may grant loan or advance to or on behalf of spouses of their directors in cases where the spouse has his / her own independent source of income arising out of his / her employment or profession and the facility so granted is based on standard procedures and norms for assessing the creditworthiness of the borrower. Such facility should be extended on commercial terms, conforming to arms-length principle.

A.3 Materiality Threshold

16H. Loans to related parties, which are not prohibited in terms of provisions of Chapter III or this Chapter of these Directions, or which have been permitted under power exercised by the Reserve Bank under clause (a) of the Explanation under sub-section 4 of Section 20 of the Banking Regulation Act, 1949, except (i) credit facilities fully secured by cash or liquid securities and in accordance to prescribed LTV and valuation norms for such securities, and (ii) interbank loans, shall be subject to a materiality threshold as per the credit policy, which shall not be higher than the following ceilings:

Asset Size of the bank in ₹ crore	Materiality Threshold Ceilings
> 50,000	₹50 lakh
≥ 10,000 to up to 50,000	₹25 lakh
Up to 10,000	₹10 lakh
Asset size based on the last audited balance sheet. For loans, materiality threshold shall apply at individual transaction level.	

16I. Materiality thresholds may vary for different categories of loans to related parties as per the bank's policy.

16J. All loans above the prescribed materiality threshold shall be sanctioned either by the Board or by the 'Committee on Lending to Related Parties' of the bank. As regards loans below the materiality threshold, the same can be sanctioned by appropriate authority in terms of powers delegated to them.

A.4 Recusal of Interested Parties

16K. Directors, KMP, or ‘specified employees’ shall recuse themselves from deliberations and decision on loan proposals, or contracts and arrangements, involving themselves or their related parties. Such recusal shall also extend to deliberations and decisions relating to any subsequent material changes to the terms of such loans, including one-time settlements, write-offs, waivers, enforcement of security, implementation of resolution plans, etc.

A.5 Monitoring of Loans to Related Parties

16L. A bank shall put in place a suitable mechanism for maintaining and periodically updating the list of all the related persons, and the related parties thereof, as well as the loans sanctioned by the bank to such related persons and related parties.

16M. Credit facilities sanctioned to 'specified employees’ and their relatives shall be reported to the Board on an annual basis.

16N. Periodic reviews shall be conducted at quarterly or shorter intervals by internal auditors to check, *inter alia*, whether guidelines and procedures in relation to loans to related parties are being adhered to or not.

16O. Any deviation from the policy relating to lending to related parties and reasons therefor such deviations shall be reported to the Audit Committee of the Board.

16P. Any product, entity or structure formed with the objective of circumventing these Directions through various means, such as reciprocal lending or quid pro quo arrangements, and identified as such by the auditors of the bank or by the supervisory authority and investigating agencies shall always be treated as lending to related party.

A.6 Enforcement Actions

16Q. Any non-compliance with and circumvention of these Directions shall result in supervisory and enforcement actions as deemed appropriate by the Reserve Bank. These actions may include imposition of monetary penalty, requirement of full provisioning, directions to conduct staff accountability exercises, forensic

audits, and restrictions or any other supervisory and enforcement actions as deemed fit.]

Chapter IV - Valuation of Properties - Empanelment of Valuers

17. A bank shall be guided by the following aspects while formulating a policy on valuation of properties and appointment of valuers:

18. Policy for valuation of properties

    (1) A bank shall have a Board approved policy in place for valuation of properties including collaterals accepted for their exposures.

    (2) The valuation shall be done by professionally qualified independent valuers *i.e.* the valuer shall not have a direct or indirect interest.

    (3) A bank shall obtain minimum two Independent Valuation Reports for properties valued at ₹50 crore or above.

19. **Revaluation of bank's own properties**

    In addition to the above, a bank may keep the following aspects in view while formulating policy for revaluation of their own properties:

    1) As a bank is permitted to include revaluation reserves as part of Capital in terms of Reserve Bank of India (Regional Rural Banks - Prudential Norms on Capital Adequacy) Directions, 2025, it is necessary that revaluation reserves represent true appreciation in the market value of the properties and banks have in place a comprehensive policy for revaluation of fixed assets owned by them. Such a policy shall *inter alia* cover procedure for identification of assets for revaluation, maintenance of separate set of records for such assets, the frequency of revaluation, depreciation policy for such assets, policy for sale of such revalued assets etc.

20. As the revaluation shall reflect the change in the fair value of the fixed asset, the frequency of revaluation shall be determined based on the observed volatility in the prices of the assets in the past. Further, any change in the method of depreciation shall reflect the change in the expected pattern of consumption of the future economic benefits of the assets. A bank shall adhere to these principles meticulously while changing the frequency of revaluation / method of depreciation for a particular class of assets.

20A. Policy for Empanelment of Independent valuers

1) A bank shall have a procedure for empanelment of professional valuers and maintain a register / record of 'approved list of valuers'.
2) A bank may prescribe a minimum qualification for empanelment of valuers. Different qualifications may be prescribed for different classes of assets (*e.g.* land and building, plant and machinery, agricultural land, etc.). While prescribing the qualification, the bank shall take into consideration the qualifications prescribed under Section 34AB (Rule 8A) of the Wealth Tax Act, 1957.

21. A bank shall also be guided by the relevant Accounting Standard issued by the Institute of Chartered Accountants of India.

Chapter V - Filing of Security Interest relating to Immovable (other than equitable mortgage), Movable, and Intangible Assets in CERSAI

22. The Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI), a Government Company licensed under section 8 of the Companies Act 2013 has been incorporated for the purpose of operating and maintaining the Central Registry under the provisions of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act).

23. It is to be noted that initially transactions relating to securitization and reconstruction of financial assets and those relating to mortgage by deposit of title deeds to secure any loan or advances granted by banks and financial institutions, as defined under the SARFAESI Act, are to be registered in the Central Registry. The records maintained by the Central Registry shall be available for search by any lender or any other person desirous of dealing with the property. Availability of such records would prevent frauds involving multiple lending against the security of same property as well as fraudulent sale of property without disclosing the security interest over such property. It may be noted that under the provisions of Section 23 of the SARFAESI Act, every transaction of security interest is required to be filed with the Registry.

24. The Government of India has issued a Gazette Notification dated January 22, 2016 for filing of the following types of security interest on the CERSAI portal:

    (1) Particulars of creation, modification or satisfaction of security interest in immovable property by mortgage other than mortgage by deposit of title deeds.
    (2) Particulars of creation, modification or satisfaction of security interest in hypothecation of plant and machinery, stocks, debts including book debts or receivables, whether existing or future.
    (3) Particulars of creation, modification or satisfaction of security interest in intangible assets, being know how, patent, copyright, trademark, license, franchise or any other business or commercial right of similar nature.

(4) Particulars of creation, modification or satisfaction of security interest in any 'under construction' residential or commercial or a part thereof by an agreement or instrument other than mortgage.

25. A bank is advised to file the charges relating to all current transactions with CERSAI on an ongoing basis.

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Chapter VI - [Deleted]

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[10]*Deleted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks - Credit Risk Management) Amendment Directions, 2025 dated December 11, 2025.*

[11][

Chapter VIA - Maintenance of Cash Credit Accounts, Current Accounts and Overdraft Accounts by Banks

39A. Current Accounts, Cash Credit Accounts (CC), and Overdraft Accounts (OD) may all be used as transaction accounts by the customers, which raises concerns relating to credit monitoring by the lenders. With a view to strengthening credit discipline and facilitating better monitoring of transactions and utilisation of funds, this Chapter provides a framework for maintaining such accounts by banks.

A. Cash Credit Accounts

39B. CC account is operationally different from a current account or OD account, given its primary nature as a working capital facility linked to the value of the borrower's current assets. A bank may provide such cash credit facilities as per the needs of the customer, without any restriction under this Chapter.

B. Current Accounts and OD Accounts

39C. A bank may maintain current account or OD account without any restriction in cases where the aggregate exposure of the banking system to the customer is less than ₹10 crore.

Explanation (1): 'Banking System' for the purpose of this Chapter shall include Commercial Banks (including Small Finance Banks, Local Area Banks, and Regional Rural Banks, but excluding Payments Banks), Urban Co-operative Banks and Rural Co-operative Banks (State Co-operative Banks and Central Co-operative Banks).

Explanation (2): 'Exposure' for the purpose of this Chapter means the sum of all sanctioned fund-based credit facilities and non-fund-based facilities availed by the borrower from the banking system.

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[11]*Inserted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks - Credit Risk Management) Amendment Directions, 2025 dated December 11, 2025.*

39D. In case of customers to whom the exposure of the banking system is ₹10 crore or more:

(1) A bank may maintain current accounts or OD accounts as per the needs of the customer provided that the bank has either:

(i) A minimum 10 per cent share in banking system's aggregate exposure to the borrower; or

(ii) A minimum 10 per cent share in banking system's aggregate fund-based exposure to the borrower;

Provided that, in case no bank within the banking system meets the above criteria, or only one bank meets the above criteria, two banks from the banking system having the largest exposures to the borrower may maintain current accounts or OD accounts.

Provided further that, in case where only one bank within the banking system has any exposure to the borrower, one more bank of the customer's choice within the banking system may maintain current accounts, subject to furnishing of a no-objection certificate (NOC) from the bank that has the exposure to the borrower.

Provided further that, in case where no Scheduled Commercial Bank (SCB) meets the above criteria, but the borrower nevertheless desires to have a current account with an SCB, such borrowers may maintain current accounts with any one SCB of their choice, subject to furnishing of NOCs from all lending banks within the banking system.

(2) A bank, not meeting the eligibility criteria at paragraph (1) above, may maintain only collection accounts.

*Explanation: '*Collection Account' for the purpose of this Chapter means a current account or OD account used primarily for receipts of cash inflows of the accountholder. Restricted payments / cash outflows from such account shall be subject to the conditions outlined in paragraph 39F of these Directions.

39E. With a view to ensuring credit discipline, lenders may include additional covenants as per their policies in their loan agreements in mutual agreement with borrowers.

C. Collection Accounts

39F. Funds credited into a collection account shall be remitted within two working days of receipt of such funds to a CC account, current account, or OD account maintained with any bank in the banking system and designated by the borrower for this purpose (hereinafter referred to as 'designated account' in this Chapter). Any disbursement of overdraft limit from an OD account, which is in the nature of a collection account, shall be through the designated account only.

Provided that statutory dues such as taxes, and dues, if any, to the bank maintaining the collection account may be debited before remitting the funds.

D. Exemptions

39G. The restrictions placed in terms of paragraph 39D(1) of these Directions shall not be applicable to the accounts mentioned below:

(1) Accounts opened as per the provisions of Foreign Exchange Management Act, 1999 (FEMA) and notifications issued thereunder, including accounts mandated for ensuring compliance under the FEMA framework.

(2) Specific accounts or transactions which are stipulated under a statute or a specific instruction of a financial sector regulator, or the Central Government or a State Government.

Explanation: 'Financial sector regulator' for the purpose of this Chapter refers to the Reserve Bank of India (RBI), the Securities and Exchange Board of India (SEBI), the Insurance Regulatory and Development Authority of India (IRDAI) and the Pension Fund Regulatory and Development Authority (PFRDA).

(3) Accounts of entities regulated by a financial sector regulator, used for the purpose of carrying out their regulated activities.

Provided that banks operating the above-mentioned exempted accounts shall ensure that transactions in such accounts are used only for the permitted /

specified purposes. Surplus funds, if any, in such accounts shall be remitted to the designated account.

E. Compliance Monitoring

39H. For the purpose of ensuring ongoing compliance with this Chapter, all banks shall monitor accounts maintained with them on a regular basis, and in any case at least once every half-year.

39I. In case it is observed that a bank is no longer eligible to maintain a current account or OD account opened in terms of:

(1) paragraph 39C due to increase in exposure of banking system to the borrower up to or beyond the specified threshold of ₹10 crore; or

(2) paragraph 39D(1), due to changes in the bank's share in banking system's aggregate exposure or in aggregate fund-based exposure to the borrower; or due to non-availability of NOC from banks that have exposure to the borrower.

then the bank shall notify the customer(s) concerned promptly, and in any case within one month from the date of observing such ineligibility, that the account must either be converted to a collection account or closed. The conversion or closure process, as the case may be, shall be completed within three months of observing such ineligibility.

39J. Accounts opened in terms of these Directions shall be appropriately flagged in the bank's core banking solution (CBS) to ensure clear identification and to facilitate effective monitoring. Banks maintaining multiple accounts for a borrower shall ensure that such accounts and transactions and cashflows therein are monitored at the borrower level as also at the account level.

F. Other Provisions

39K. A bank shall ensure that an accountholder utilise their account solely for transactions related to their authorised business or activities. These accounts shall not, under any circumstances, be used as pass-through channels for facilitating third-party transactions.

Provided that entities expressly licensed or authorised by a financial sector regulator to facilitate third-party transactions may continue to do so. However, such activities shall strictly be limited to the specific transactions they are authorised to do and shall not extend beyond that scope. Any account that has been permitted to carry out such third-party transactions shall be appropriately flagged in the bank's CBS to ensure clear identification and to facilitate effective monitoring.

39L. A bank shall ensure that an accountholder, who is not licensed or authorised by the Reserve Bank to accept deposits or to provide payment services, do not engage in such activities through accounts maintained with them.

39M. Robust monitoring systems shall be implemented to detect the above prohibited usage, including mechanisms to flag accounts exhibiting unusually high transaction volumes, frequent pass-through activities, or inconsistencies between the accountholder's stated line of business and transactions carried out through the account.

39N. Term loans sanctioned by the bank shall preferably be remitted directly to the intended beneficiary's account(s) or for the specified end-use, where such beneficiary is identifiable, rather than routing the funds through the borrower's account.]

Chapter VII - Loan System for Delivery of Bank Credit

40. With a view to enhance credit discipline among the larger borrowers enjoying working capital facility from the banking system, delivery of bank credit for such borrowers shall be as under:

(1) Minimum level of 'loan component'

In respect of borrowers having aggregate fund based working capital limit (WCL), excluding intra-day credit facilities, of ₹150 crore and above from the banking system, the outstanding 'loan component' (Working Capital Loan) must be equal to at least 60 per cent of the sanctioned fund based working capital limit, including ad hoc limits and TODs. Hence, for such borrowers, drawings up to 60 per cent of the total fund based working capital limits shall only be allowed from the 'loan component'. Drawings in excess of the minimum 'loan component' threshold may be allowed in the form of cash credit / overdraft facility. The bifurcation of the working capital limit into loan and cash credit / overdraft components shall be effected after excluding the export credit limits (pre-shipment and post-shipment) and bills limit for inland sales from the working capital limit. Investment by the bank in the commercial papers issued by the borrower shall form part of the loan component, provided the investment is sanctioned as part of the working capital limit.

The above instructions on minimum loan component shall not be applicable on the following:

(i) Intra-day credit facilities.
(ii) Credit facilities extended through the Food Credit Consortium.
(iii) Credit facilities extended to Central Counterparties.

(2) Sharing of Working Capital Finance

Bifurcation of working capital facility into loan component and cash credit / overdraft component shall be maintained at individual bank level in all cases, including consortium lending.

(3) Amount and tenor of the loan

The amount and tenor of the loan component may be fixed by banks in consultation with the borrowers, subject to the tenor being not less than seven days. Banks may decide to split the loan component into WCLs with different maturity periods as per the needs of the borrowers.

(4) Repayment / Renewal / Rollover of Loan Component

Banks / consortia / syndicates shall have the discretion to stipulate repayment of the WCLs in instalments or by way of a 'bullet' repayment, subject to Reserve Bank of India (Regional Rural Banks – Income Recognition, Asset Classification and Provisioning) Directions, 2025. A bank may consider rollover of the WCLs at the request of the borrower, subject to compliance with the directions *ibid*.

v) For risk weights credit conversion factor for undrawn portion of working capital limits sanctioned to the aforesaid large borrowers, banks shall refer to Reserve Bank of India (Regional Rural Banks - Prudential Norms on Capital Adequacy) Directions, 2025.

Chapter VIII – Miscellaneous

41. A bank shall not extend any financial assistance (including working capital funds) to NBFCs.

Chapter IX - Repeal and other provisions

A. Repeal and saving

42. With the issue of these Directions, the existing Directions, instructions, and guidelines relating to Credit Risk Management as applicable to Regional Rural Banks stands repealed, as communicated *vide* circular DOR.RRC.REC.302/33-01-010/2025-26 dated November 28, 2025. The Directions, instructions and guidelines already repealed shall continue to remain repealed.

43. Notwithstanding such repeal, any action taken or purported to have been taken, or initiated under the repealed Directions, instructions, or guidelines shall continue to be governed by the provisions thereof. All approvals or acknowledgments granted under these repealed lists shall be deemed as governed by these Directions. Further, the repeal of these directions, instructions, or guidelines shall not in any way prejudicially affect:

(1) any right, obligation or liability acquired, accrued, or incurred thereunder;
(2) any, penalty, forfeiture, or punishment incurred in respect of any contravention committed thereunder;
(3) any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture, or punishment as aforesaid; and any such investigation, legal proceedings or remedy may be instituted, continued, or enforced and any such penalty, forfeiture or punishment may be imposed as if those directions, instructions, or guidelines had not been repealed.

B. Application of other laws not barred

44. The provisions of these Directions shall be in addition to, and not in derogation of the provisions of any other laws, rules, regulations, or directions, for the time being in force.

C. Interpretations

45. For the purpose of giving effect to the provisions of these Directions or in order to remove any difficulties in the application or interpretation of the provisions of these Directions, the Reserve Bank may, if it considers necessary, issue necessary clarifications in respect of any matter covered herein and the interpretation of any provision of these Directions given by the Reserve Bank shall be final and binding.

(Vaibhav Chaturvedi)
Chief General Manager

Annex I

[12][*****]

[12]*Deleted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks - Credit Risk Management) Amendment Directions, 2025 dated December 11, 2025.*

Annex II

[13][*****]

[13]*Deleted with effect from April 01, 2026 vide Reserve Bank of India (Regional Rural Banks - Credit Risk Management) Amendment Directions, 2025 dated December 11, 2025.*